CLOSING STATEMENT

Raven Falcon Commons | Hartford, CT

Property	Raven Falcon Commons
Settlement Date	November 8, 2020
Buyer	Cascadia Rock Capital
Seller	Harlan Street Capital
Sale Price	$27,890,000

Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Purchase price	$27,890,000			
Earnest money deposit		$160,894	$160,894	
Real estate tax proration	$229,445			$229,445
Rent proration			$37,060	
Security deposits assumed	$250,986	$250,986		
Prepaid rents			$77,933	$77,933
Owner's title policy premium	$81,305			
Lender's title policy premium		$122,010	$122,010	
Escrow fee	$207,269			$207,269
Recording fees			$178,813	
Transfer tax	$127,620	$127,620		
Survey			$127,804	$127,804
Legal fees - Buyer	$113,148			
Legal fees - Seller		$197,995	$197,995	
Broker commission	$266,508			$266,508
Loan origination fee			$166,929	
Lender legal	$56,208	$56,208		
Appraisal fee			$172,299	$172,299
Environmental report	$179,670			
Property condition report		$139,198	$139,198	
Tax escrow deposit	$137,972			$137,972
Insurance escrow deposit			$185,544	
Replacement reserve deposit	$119,610	$119,610		
Utility deposits			$233,515	$233,515
Assumed vendor contracts credit	$104,177			

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Legal fees - Buyer	$27,890,000			
Legal fees - Seller		$101,537	$101,537	
Broker commission	$240,746			$240,746
Loan origination fee			$237,200	
Lender legal	$13,997	$13,997		
Appraisal fee			$5,907	$5,907
Environmental report	$259,856			
Property condition report		$45,058	$45,058	
Tax escrow deposit	$6,407			$6,407
Insurance escrow deposit			$8,073	
Replacement reserve deposit	$191,649	$191,649		
Utility deposits			$64,332	$64,332
Assumed vendor contracts credit	$219,918			
Tenant improvement credit		$92,937	$92,937	
Courier / wire fees	$87,630			$87,630
Municipal certificates			$207,659	
Purchase price	$19,543	$19,543		
Earnest money deposit			$144,075	$144,075
Real estate tax proration	$228,669			
Rent proration		$268,016	$268,016	
Security deposits assumed	$250,239			$250,239
Prepaid rents			$38,560	
Owner's title policy premium	$126,985	$126,985		
Lender's title policy premium			$270,437	$270,437
Escrow fee	$45,539			
Recording fees		$59,154	$59,154	
Transfer tax	$236,819			$236,819
Survey			$129,828	

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Valuation Discussion

Operating expenses totaled $250,000 or approximately 34.13 per square foot, with real estate taxes representing the largest line item. Resident turnover has averaged 3.6% annually with renewal retention above 96.2%. Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Debt service coverage ratio was 6.67x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 3.9% of collected revenue and are included in operating expenses. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet.

Financial Analysis

Resident turnover has averaged 8.2% annually with renewal retention above 92.7%. Effective gross income for the trailing period was $32,000, representing a 8.4% increase over the prior year. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 5.5% of collected revenue and are included in operating expenses. The going-in capitalization rate of 6.97% reflects the in-place income and the stabilized occupancy assumption.

Resident turnover has averaged 4.5% annually with renewal retention above 89.9%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet. Effective gross income for the trailing period was $201,000, representing a 13.2% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 6.0% over the hold period.

Valuation Discussion

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $191,000 or approximately 24.83 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 7.1% over the hold period.

Effective gross income for the trailing period was $62,000, representing a 10.4% increase over the prior year. Resident turnover has averaged 13.0% annually with renewal retention above 88.5%. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 7.85% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $472,000 or approximately 33.47 per square foot, with real estate taxes representing the largest line item. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Assumed vendor contracts credit	$27,890,000			
Tenant improvement credit		$243,685	$243,685	
Courier / wire fees	$91,415			$91,415
Municipal certificates			$182,280	
Purchase price	$140,950	$140,950		
Earnest money deposit			$90,352	$90,352
Real estate tax proration	$143,054			
Rent proration		$240,380	$240,380	
Security deposits assumed	$184,147			$184,147
Prepaid rents			$95,222	
Owner's title policy premium	$157,792	$157,792		
Lender's title policy premium			$199,718	$199,718
Escrow fee	$158,166			
Recording fees		$68,083	$68,083	
Transfer tax	$24,944			$24,944
Survey			$157,639	
Legal fees - Buyer	$185,464	$185,464		
Legal fees - Seller			$92,166	$92,166
Broker commission	$214,900			
Loan origination fee		$139,216	$139,216	
Lender legal	$72,276			$72,276
Appraisal fee			$78,830	
Environmental report	$249,020	$249,020		
Property condition report			$76,084	$76,084
Tax escrow deposit	$115,780			
Insurance escrow deposit		$208,481	$208,481	
Replacement reserve deposit	$59,061			$59,061
Utility deposits			$109,723	

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Valuation Discussion

Resident turnover has averaged 11.4% annually with renewal retention above 93.0%. Management fees are calculated at 7.4% of collected revenue and are included in operating expenses. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 7.0% annually with renewal retention above 90.6%. The going-in capitalization rate of 6.48% reflects the in-place income and the stabilized occupancy assumption. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Valuation Discussion

Effective gross income for the trailing period was $286,000, representing a 8.3% increase over the prior year. Operating expenses totaled $78,000 or approximately 31.83 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Resident turnover has averaged 3.9% annually with renewal retention above 95.1%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Effective gross income for the trailing period was $272,000, representing a 2.1% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 5.4% over the hold period. Resident turnover has averaged 13.9% annually with renewal retention above 89.3%. Operating expenses totaled $475,000 or approximately 8.96 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.55x on a trailing basis against a covenant minimum of 1.20x.

Income and Expense Review

Management fees are calculated at 4.9% of collected revenue and are included in operating expenses. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The going-in capitalization rate of 5.34% reflects the in-place income and the stabilized occupancy assumption. Resident turnover has averaged 9.7% annually with renewal retention above 89.3%. Effective gross income for the trailing period was $277,000, representing a 2.9% increase over the prior year.

Net operating income is projected to grow at a compound annual rate of 6.8% over the hold period. Effective gross income for the trailing period was $85,000, representing a 4.7% increase over the prior year. Management fees are calculated at 7.9% of collected revenue and are included in operating expenses. Resident turnover has averaged 9.1% annually with renewal retention above 95.6%.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Escrow fee	$27,890,000			
Recording fees		$204,346	$204,346	
Transfer tax	$51,870			$51,870
Survey			$93,182	
Legal fees - Buyer	$101,631	$101,631		
Legal fees - Seller			$240,517	$240,517
Broker commission	$104,266			
Loan origination fee		$212,092	$212,092	
Lender legal	$38,198			$38,198
Appraisal fee			$39,588	
Environmental report	$37,415	$37,415		
Property condition report			$193,115	$193,115
Tax escrow deposit	$191,471			
Insurance escrow deposit		$70,066	$70,066	
Replacement reserve deposit	$40,690			$40,690
Utility deposits			$104,548	
Assumed vendor contracts credit	$118,481	$118,481		
Tenant improvement credit			$175,421	$175,421
Courier / wire fees	$135,711			
Municipal certificates		$150,276	$150,276	
Purchase price	$26,367			$26,367
Earnest money deposit			$127,937	
Real estate tax proration	$84,187	$84,187		
Rent proration			$253,387	$253,387
Security deposits assumed	$59,517			
Prepaid rents		$16,110	$16,110	
Owner's title policy premium	$19,287			$19,287
Lender's title policy premium			$179,440	

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Financial Analysis

Resident turnover has averaged 2.9% annually with renewal retention above 88.5%. Effective gross income for the trailing period was $399,000, representing a 5.4% increase over the prior year. Operating expenses totaled $318,000 or approximately 22.31 per square foot, with real estate taxes representing the largest line item. Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet.

Effective gross income for the trailing period was $449,000, representing a 13.2% increase over the prior year. The going-in capitalization rate of 5.82% reflects the in-place income and the stabilized occupancy assumption. Resident turnover has averaged 7.3% annually with renewal retention above 95.1%. Net operating income is projected to grow at a compound annual rate of 3.2% over the hold period. Management fees are calculated at 3.0% of collected revenue and are included in operating expenses.

Valuation Discussion

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Operating expenses totaled $429,000 or approximately 25.74 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 7.40% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 6.6% of collected revenue and are included in operating expenses. Debt service coverage ratio was 8.10x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Resident turnover has averaged 3.3% annually with renewal retention above 89.5%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The going-in capitalization rate of 6.34% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $15,000, representing a 9.6% increase over the prior year. Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet.

Operating Performance

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.06x on a trailing basis against a covenant minimum of 1.20x. Resident turnover has averaged 12.6% annually with renewal retention above 88.3%. Net operating income is projected to grow at a compound annual rate of 6.5% over the hold period. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Effective gross income for the trailing period was $14,000, representing a 13.4% increase over the prior year.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Debt service coverage ratio was 5.35x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 6.4% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Tax escrow deposit	$27,890,000			
Insurance escrow deposit		$54,470	$54,470	
Replacement reserve deposit	$131,362			$131,362
Utility deposits			$115,969	
Assumed vendor contracts credit	$35,219	$35,219		
Tenant improvement credit			$201,360	$201,360
Courier / wire fees	$224,919			
Municipal certificates		$114,015	$114,015	
Purchase price	$43,799			$43,799
Earnest money deposit			$267,371	
Real estate tax proration	$209,477	$209,477		
Rent proration			$244,771	$244,771
Security deposits assumed	$83,967			
Prepaid rents		$260,668	$260,668	
Owner's title policy premium	$78,241			$78,241
Lender's title policy premium			$244,190	
Escrow fee	$32,786	$32,786		
Recording fees			$53,266	$53,266
Transfer tax	$242,186			
Survey		$22,767	$22,767	
Legal fees - Buyer	$33,938			$33,938
Legal fees - Seller			$220,020	
Broker commission	$223,157	$223,157		
Loan origination fee			$258,531	$258,531
Lender legal	$81,883			
Appraisal fee		$237,304	$237,304	
Environmental report	$137,177			$137,177
Property condition report			$247,214	

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Income and Expense Review

The going-in capitalization rate of 6.23% reflects the in-place income and the stabilized occupancy assumption. Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 12.4% annually with renewal retention above 88.7%. Net operating income is projected to grow at a compound annual rate of 7.0% over the hold period.

Effective gross income for the trailing period was $93,000, representing a 11.6% increase over the prior year. Resident turnover has averaged 7.8% annually with renewal retention above 95.2%. Operating expenses totaled $226,000 or approximately 22.84 per square foot, with real estate taxes representing the largest line item. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Valuation Discussion

The going-in capitalization rate of 5.18% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $14,000 or approximately 29.99 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 7.69x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 7.0% over the hold period.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Resident turnover has averaged 2.5% annually with renewal retention above 96.0%. Net operating income is projected to grow at a compound annual rate of 5.1% over the hold period. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet. The going-in capitalization rate of 7.82% reflects the in-place income and the stabilized occupancy assumption.

Operating Performance

Operating expenses totaled $197,000 or approximately 44.29 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 6.16% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 6.09x on a trailing basis against a covenant minimum of 1.20x. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet. Management fees are calculated at 3.5% of collected revenue and are included in operating expenses.

Resident turnover has averaged 2.1% annually with renewal retention above 88.7%. Operating expenses totaled $283,000 or approximately 39.72 per square foot, with real estate taxes representing the largest line item. Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet. The going-in capitalization rate of 6.73% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 4.5% over the hold period.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Security deposits assumed	$27,890,000			
Prepaid rents		$138,853	$138,853	
Owner's title policy premium	$260,755			$260,755
Lender's title policy premium			$238,363	
Escrow fee	$180,877	$180,877		
Recording fees			$82,585	$82,585
Transfer tax	$55,173			
Survey		$86,004	$86,004	
Legal fees - Buyer	$73,313			$73,313
Legal fees - Seller			$26,293	
Broker commission	$193,716	$193,716		
Loan origination fee			$37,897	$37,897
Lender legal	$141,341			
Appraisal fee		$266,540	$266,540	
Environmental report	$28,684			$28,684
Property condition report			$102,873	
Tax escrow deposit	$45,384	$45,384		
Insurance escrow deposit			$108,958	$108,958
Replacement reserve deposit	$239,208			
Utility deposits		$273,679	$273,679	
Assumed vendor contracts credit	$10,335			$10,335
Tenant improvement credit			$107,700	
Courier / wire fees	$18,242	$18,242		
Municipal certificates			$124,931	$124,931
Purchase price	$256,970			
Earnest money deposit		$135,232	$135,232	
Real estate tax proration	$207,200			$207,200
Rent proration			$193,094	

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Operating Performance

Management fees are calculated at 6.1% of collected revenue and are included in operating expenses. Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Net operating income is projected to grow at a compound annual rate of 6.2% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Resident turnover has averaged 5.3% annually with renewal retention above 95.1%.

Operating expenses totaled $315,000 or approximately 17.42 per square foot, with real estate taxes representing the largest line item. Resident turnover has averaged 8.8% annually with renewal retention above 88.5%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Net operating income is projected to grow at a compound annual rate of 7.2% over the hold period.

Financial Analysis

Operating expenses totaled $65,000 or approximately 18.41 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 8.06% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 5.6% over the hold period. Average in-place rent is $1,248 per month against an average unit size of 1,048 square feet.

Net operating income is projected to grow at a compound annual rate of 7.5% over the hold period. Resident turnover has averaged 4.9% annually with renewal retention above 91.8%. The going-in capitalization rate of 5.79% reflects the in-place income and the stabilized occupancy assumption. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Income and Expense Review

Operating expenses totaled $284,000 or approximately 37.63 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $260,000, representing a 13.1% increase over the prior year. Resident turnover has averaged 2.7% annually with renewal retention above 93.6%. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 6.00% reflects the in-place income and the stabilized occupancy assumption.

Debt service coverage ratio was 7.67x on a trailing basis against a covenant minimum of 1.20x. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Resident turnover has averaged 6.5% annually with renewal retention above 93.5%. Net operating income is projected to grow at a compound annual rate of 6.7% over the hold period.

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Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Lender legal	$27,890,000			
Appraisal fee		$117,618	$117,618	
Environmental report	$179,570			$179,570
Property condition report			$191,267	
Tax escrow deposit	$74,863	$74,863		
Insurance escrow deposit			$181,554	$181,554
Replacement reserve deposit	$156,385			
Utility deposits		$180,073	$180,073	
Assumed vendor contracts credit	$71,173			$71,173
Tenant improvement credit			$28,904	
Courier / wire fees	$27,164	$27,164		
Municipal certificates			$130,437	$130,437
Purchase price	$40,631			
Earnest money deposit		$14,778	$14,778	
Real estate tax proration	$139,264			$139,264
Rent proration			$202,715	
Security deposits assumed	$177,494	$177,494		
Prepaid rents			$177,781	$177,781
Owner's title policy premium	$137,259			
Lender's title policy premium		$37,691	$37,691	
Escrow fee	$130,154			$130,154
Recording fees			$76,629	
Transfer tax	$189,926	$189,926		
Survey			$67,473	$67,473
Legal fees - Buyer	$90,627			
Legal fees - Seller		$65,293	$65,293	
Broker commission	$18,812			$18,812
Loan origination fee			$146,304	

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